

ARCUS

FP&A AND PERFORMANCE MANAGEMENT

Developer Education and System Boundary Guidance Document

Core system boundary

FP&A is the Financial Future Engine. Performance Management is the Strategy Execution and Accountability Engine. They must remain separate systems with controlled, auditable integrations.

To	Arcus Development Team
Subject	Understanding the difference between FP&A and Performance Management, and how the two systems must work together
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CONFIDENTIAL

For internal design, architecture and implementation use.

1. Purpose of This Document

Developers must clearly understand the difference between the FP&A system and the Performance Management system before implementing either module.

The two systems are related, and they will exchange information, but they are not the same system and must not be built as one combined workflow.

FP&A

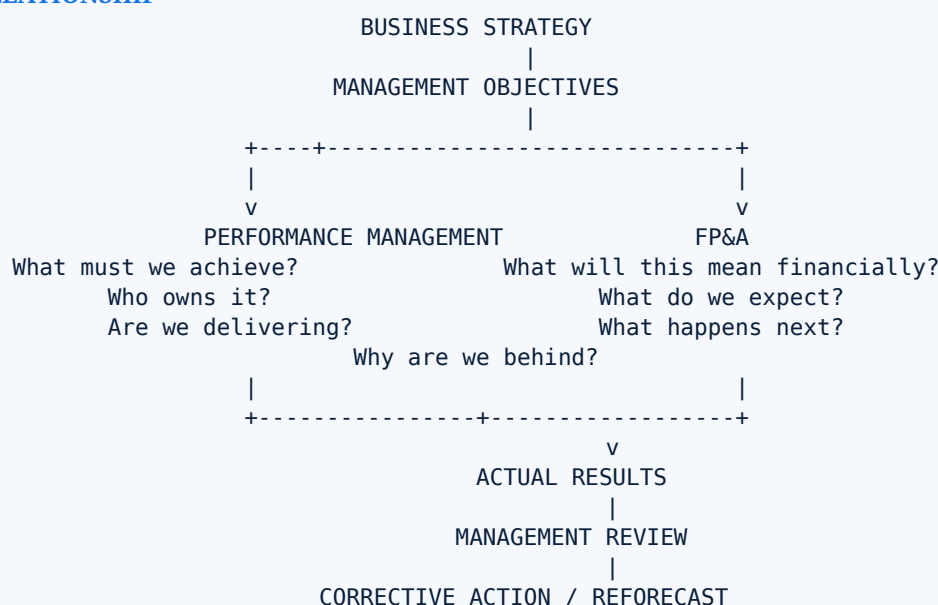
Determines what the organisation financially expects to happen.

Performance Management

Determines whether the organisation is actually delivering the actions and results required to achieve its objectives.

FP&A is the financial planning and forecasting engine. Performance Management is the strategy execution, measurement and accountability engine.

HIGH-LEVEL RELATIONSHIP



Developers must preserve this distinction throughout the system architecture, database model, user interface and workflows.

2. The Plain-English Difference

Consider a company that expects to generate US\$100 million in revenue.

The FP&A system asks

- How did management arrive at US\$100 million?
- How many customers are expected?
- How much will each customer spend?
- What is the expected growth rate?
- What happens if growth slows?
- What will payroll cost?
- What will EBITDA be?
- What will closing cash be?

The Performance Management system asks

- Who is responsible for delivering the US\$100 million?

- How many clients must the sales team acquire?
- How many proposals must be submitted?
- What conversion rate is required?
- Are these targets being achieved?
- Why is the business behind?
- What corrective action has management agreed?

FP&A = Financial Expectation

The system models the expected financial result and the assumptions that produce it.

Performance Management = Execution Against Expectation

The system measures whether accountable owners are delivering the results and actions necessary to achieve the plan.

3. FP&A: What the System Is Supposed to Do

The Arcus FP&A system is the organisation's forward-looking financial planning environment.

FP&A OPERATING MODEL



The system primarily serves CFOs, Finance Directors, FP&A Managers, Financial Analysts, Department Budget Owners, Executives and Board users.

3.1 Example of FP&A Logic

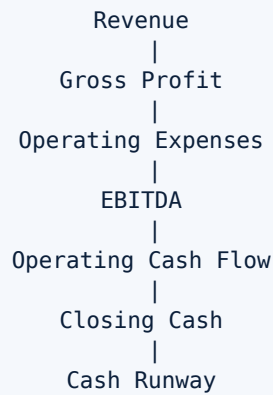
New Institutional Mandates	8
Average AUM per Mandate	US\$20m
Management Fee	1.25%
New Employees	12
Average Employee Cost	US\$3,500 per month

The system calculates:

New AUM = 8 x US\$20m = US\$160m

Management Fee Revenue = US\$160m x 1.25% = US\$2m

Payroll = 12 x US\$3,500 x 12 = US\$504,000

FINANCIAL DEPENDENCY CHAIN

FP&A is therefore concerned with the financial consequences of assumptions.

3.2 FP&A Questions

- What is the approved budget?
- What is the latest forecast?
- What are actual results?
- What is the expected full-year outcome?
- What is driving revenue?
- What is driving expenses?
- What happens if assumptions change?
- What happens under a downside scenario?
- What will EBITDA be?
- What will closing cash be?
- How much runway remains?
- Which financial assumptions changed?
- What changed since the previous forecast?
- What financial version was approved?

3.3 Primary FP&A Objects

- Planning Model
- Planning Cycle
- Plan Version
- Scenario
- Driver
- Assumption
- Line Item
- Dimension
- Planning Value
- Actual Value
- Forecast Value
- Budget Value
- Formula
- Calculation Dependency
- Variance
- Planning Workflow

Developer interpretation

Think of FP&A as a multi-dimensional calculation system with controlled planning inputs, model dependencies and version governance.

4. Performance Management: What the System Is Supposed to Do

Performance Management must help the organisation convert strategy into measurable execution.

PERFORMANCE MANAGEMENT OPERATING MODEL



The system primarily serves Chief Executives, Executives, Heads of Department, Fund Managers, Portfolio Managers, Strategy Teams, Performance Officers, Managers and Board or Committee users.

4.1 Example of Performance Management Logic

Strategic Objective	Grow Institutional Assets Under Management
KPI	Net New Institutional AUM
Owner	Head of Business Development
Annual Target	US\$50m
Q1 Target	US\$10m
Q1 Actual	US\$6.5m

Achievement = US\$6.5m / US\$10m x 100 = 65%

Performance status: AT RISK

The system must move from measurement into management action. It must require root cause, corrective action, action ownership and a due date.

Root Cause	Two pension fund mandates were delayed because their Investment Committee reviews moved to Q2.
Corrective Action	Complete outstanding DDQ requests and schedule Investment Committee presentations.
Action Owner	Tariro Moyo
Due Date	30 April

This is not financial forecasting. This is organisational accountability.

5. The Core Difference in System Logic

Area	FP&A	Performance Management
Primary purpose	Financial planning	Strategy execution
Main question	What do we expect financially?	Are we delivering?
Main data	Financial and operational values	KPI actuals and targets
Future focus	High	Moderate

Area	FP&A	Performance Management
Accountability focus	Moderate	High
Core workflow	Plan, calculate, approve	Set target, monitor, review, act
Main objects	Forecasts, budgets, drivers	Objectives, KPIs, actions
Main users	Finance	Executives and managers
Main output	Financial outlook	Performance scorecard
Scenario modelling	Core requirement	Not primary
Corrective actions	Secondary	Core requirement
KPI ownership	Limited	Core requirement

6. The Systems Must Not Be Combined Into One Database Concept

One common implementation mistake would be to use one generic table such as performance_values for Revenue Budget, Revenue Forecast, Revenue KPI Target and Revenue Actual. Do not do this.

These values have different financial and governance meanings.

Example

FP&A Budget Revenue of US\$120m means the organisation formally approved a financial plan expecting US\$120 million revenue. Performance Management may create a Revenue Achievement KPI with a US\$120m target, but the two records must remain separate.

CORRECT ARCHITECTURE



Source System	FP&A
Source Version	FY2027 Board Approved Budget
Source Line Item	Revenue
Source Value	US\$120m
Source Date	15 December 2026

7. How FP&A and Performance Management Must Work Together

The integration must operate as a closed management loop.

CLOSED MANAGEMENT LOOP

The two systems must exchange information without losing historical meaning.

8. Step 1 - FP&A Creates the Financial Plan

Assume the approved budget contains:

FY2027 Board Approved Budget - Revenue	US\$120m
Closing AUM	US\$800m
Management Fee Revenue	US\$10m
EBITDA	US\$35m
Operating Expense	US\$40m
Headcount	125
Closing Cash	US\$14m

This plan is approved and locked. The FP&A system owns these records.

9. Step 2 - Selected FP&A Measures Become Performance Targets

Not every FP&A line item should become a KPI. A mapping must be configured.

FP&A Line Item	Performance KPI
Closing AUM	AUM Growth

FP&A Line Item	Performance KPI
Management Fee Revenue	Fee Revenue Achievement
Revenue	Revenue Achievement
EBITDA	EBITDA Achievement
Operating Expenses	Cost Control
Headcount	Approved Headcount Compliance
Closing Cash	Minimum Cash Buffer

TARGET MAPPING

Source FP&A Line Item	Closing AUM
Source Version	FY2027 Board Approved Budget
FP&A Value	US\$800m
Mapped KPI	Closing AUM
Performance Target	US\$800m

10. Step 3 - Performance Management Receives Actual Results

Actuals may originate from Accounting, Payroll, Portfolio Management, Stock Picker, Fundraising, Procurement, Loan Management, Property Management and Client Accounts.

KPI	Closing AUM
Target	US\$800m
Current Actual	US\$610m
Expected YTD Target	US\$670m

Achievement = US\$610m / US\$670m x 100 = 91.04%

Performance status: WATCH

Performance Management owns KPI calculation, performance status, KPI owner, commentary, corrective actions and review workflow.

11. Step 4 - Performance Management Identifies Execution Failure

New Institutional Mandates	Target 12 Actual 3 Achievement 25% Status CRITICAL
Qualified Opportunities	Target 30 Actual 19 Achievement 63%
Proposal Conversion	Target 30% Actual 18% Achievement 60%

Performance problem

Insufficient mandate conversion.

The system must require a Performance Review, Root Cause, Management Commentary, Corrective Action, Action Owner and Due Date.

12. Step 5 - A Material Performance Problem May Trigger an FP&A Review

The system must support a configurable relationship between a KPI and an FP&A driver.

Performance KPI	New Institutional Mandates
Linked FP&A Driver	New Mandates Won
Current FP&A Assumption	12 Mandates
Performance Actual	3 Mandates YTD

The Performance Management system must not directly change the FP&A assumption. Instead, it creates a FORECAST REVIEW TRIGGER.

Performance KPI	New Institutional Mandates
Current Target	12
Current Actual	3
Achievement	25%
Status	Critical
Related FP&A Driver	New Mandates Won
Current FP&A Driver Value	12
Recommendation	Review forecast assumption

FP&A receives the alert.

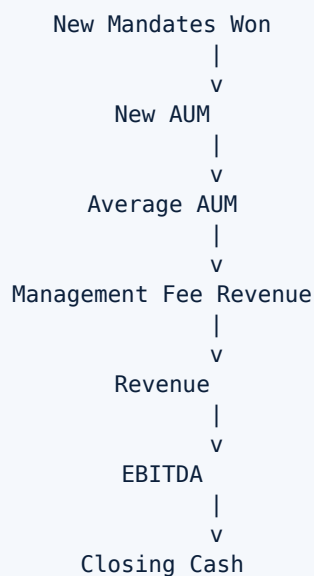
13. Step 6 - FP&A Decides Whether the Forecast Must Change

Original Forecast	12 Mandates
Actual YTD	3 Mandates
Current Qualified Pipeline	6 Opportunities
Historical Conversion	35%

Management decides the revised expected number of mandates is 7.

The analyst changes New Mandates Won from 12 to 7.

FP&A RECALCULATION CHAIN



Original Budget Revenue	US\$120m
Previous Forecast	US\$115m

New Forecast	US\$102m
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14. Step 7 - Performance Management Receives the Updated Forecast

Performance Management must show three separate values.

Original Target	US\$120m
Current Forecast	US\$102m
Actual YTD	US\$38m

Critical control

The system must not change the original target from US\$120m to US\$102m merely because FP&A reduced its forecast. Otherwise management may hide poor performance by continuously lowering the target.

Revenue Performance - Original FY Target	US\$120m
Current Forecast	US\$102m
Actual YTD	US\$38m
Target Achievement	31.7%
Forecast Attainment	37.3%
Status	AT RISK

15. Budget Targets and Forecast Expectations Must Remain Separate

TARGET

What management committed to achieve.

FORECAST

What management currently expects to happen.

ACTUAL

What has already happened.

Revenue Target	US\$120m
Revenue Forecast	US\$102m
Revenue Actual YTD	US\$38m

All three values are important. Do not overwrite one with another.

16. FP&A Owns Financial Variance

FP&A is responsible for analysing Actual vs Budget, Actual vs Forecast, Forecast vs Budget and Current Forecast vs Prior Forecast.

Actual Revenue	US\$38m
Budget Revenue	US\$45m
Variance	-US\$7m
Variance Percentage	-15.56%

FP&A may ask: Why is revenue US\$7 million below budget?

17. Performance Management Owns KPI Underperformance

Qualified Opportunities	Target 30 Actual 19
Proposal Conversion	Target 30% Actual 18%
New Mandates	Target 12 Actual 3

These operational results may explain the financial revenue variance.

FP&A view

Revenue is US\$7m below plan.

Performance Management view

Mandate conversion is 40% below target.

Together they explain: Revenue is below plan because the mandate acquisition process is underperforming.

18. Example: Asset Manager

FP&A

ASSET MANAGER FP&A LOGIC

$$\begin{aligned}
 &\text{Opening AUM} \\
 &+ \\
 &\text{New Mandate AUM} \\
 &+ \\
 &\text{Investment Performance} \\
 &- \\
 &\text{Redemptions} \\
 &= \\
 &\text{Closing AUM}
 \end{aligned}$$

Management Fee Revenue = Average AUM x Fee Rate

Closing AUM	US\$800m
Management Fee Revenue	US\$10m
EBITDA	US\$35m

Performance Management

The scorecard may contain the following perspectives:

Financial	AUM Growth; Fee Revenue; EBITDA Margin; Cost-to-Income Ratio
Client	Client Retention; New Mandates Won; Client Reporting SLA; Complaints Resolved
Investment Operations	Trade Settlement Exceptions; Reconciliation Breaks; NAV Completion Time; Mandate Compliance Breaches
People	Employee Turnover; Training Completion; Performance Review Completion; Analyst Productivity

FP&A predicts Closing AUM = US\$800m.

Performance Management explains why AUM may only be US\$610m: New Mandates 3/12, Client Retention 91%/97%, Pipeline Conversion 18%/30%.

19. Example: Private Equity or Venture Capital Fund

FP&A

For the management company, FP&A may plan Management Fee Revenue, Payroll, Travel, Due Diligence Expenses, Operating Expenses, EBITDA and Cash Runway.

For portfolio companies, FP&A may plan Revenue Forecast, EBITDA Forecast, Cash Runway, Headcount Forecast and Funding Requirements.

Performance Management

Performance Management tracks fund and portfolio execution.

Fund-Level Examples	Capital Deployment; Deal Pipeline Conversion; Portfolio Reporting Compliance; Board Action Completion; Fundraising Target Achievement
Portfolio Company Examples	Revenue Growth; Gross Margin; EBITDA; Monthly Burn; Cash Runway; Customer Growth; Production Volume; Hiring; ESG Indicators
Portfolio Company	Chiedza Technologies
Revenue	Target US\$750k Actual US\$610k Achievement 81%
Gross Margin	Target 65% Actual 61% Achievement 94%
Monthly Burn	Target <= US\$200k Actual US\$285k Status Critical
Cash Runway	Target >= 12 months Actual 7.2 months Status Critical

Performance Management

Chiedza Technologies is underperforming.

FP&A

What does this mean for the updated financial forecast?

20. Recommended Performance Management Navigation

RECOMMENDED NAVIGATION

```

Performance Management
|-- Executive Dashboard
|   |-- Strategy
|   |-- Strategic Themes
|   |-- Strategic Objectives
|       |-- Strategy Map
|       |-- Scorecards
|       |-- Corporate Scorecard
|       |-- Fund Scorecards
|       |-- Department Scorecards
|-- Portfolio Company Scorecards
|   |-- KPIs
|       |-- KPI Library
|       |-- KPI Actuals
|       |-- KPI Targets
|       |-- KPI History
|   |-- KPI Data Mapping
|-- Objectives & Key Results
|   |-- Initiatives
|   |-- Corrective Actions
|-- Performance Reviews
|   |-- Commentary
|   |-- Accountability
|-- Alerts & Escalations
|-- Performance Reports
|   |-- FP&A Mapping
|   |-- Settings

```

21. Recommended FP&A Navigation

FP&A must remain financially oriented.

RECOMMENDED NAVIGATION

```

FP&A
|-- Home
|-- Planning Models
|-- Annual Budgeting
|-- Rolling Forecasts
|-- Scenario Planning
|-- Assumptions & Drivers
|-- Workforce Planning
|   |-- Revenue Planning
|   |-- Expense Planning
|   |-- Capex Planning
|   |-- Working Capital
|-- Cash Flow Planning
|-- Portfolio Company Forecasts
|   |-- Actuals Integration
|   |-- Variance Analysis
|-- Management Reporting
|   |-- Board Packs
|-- Workflow & Approvals
|   |-- Model Builder

```

Do not introduce into FP&A

Strategic Themes, KPI Owners, Corrective Action Plans or Individual Scorecards. These belong in Performance Management.

22. Required Integration Objects

- performance_fpa_target_mappings
- performance_fpa_driver_mappings
- performance_forecast_review_triggers
- performance_financial_target_snapshots
- performance_forecast_snapshots

22.1 Target Mapping

KPI	Revenue Achievement
FP&A Model	FY2027 Corporate Model
FP&A Line Item	Revenue
Target Source Version	FY2027 Board Approved Budget
Target Mapping Method	FULL_YEAR_VALUE

22.2 Driver Mapping

KPI	New Institutional Mandates
FP&A Driver	New Mandates Won
Trigger Threshold	KPI Achievement < 70%
Trigger Period	2 Consecutive Months

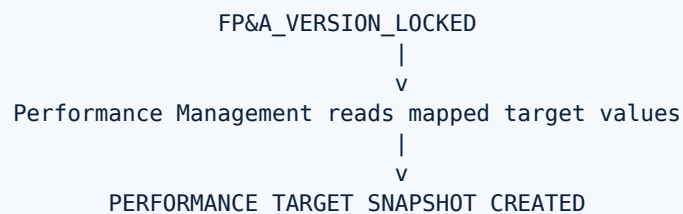
22.3 Forecast Review Trigger

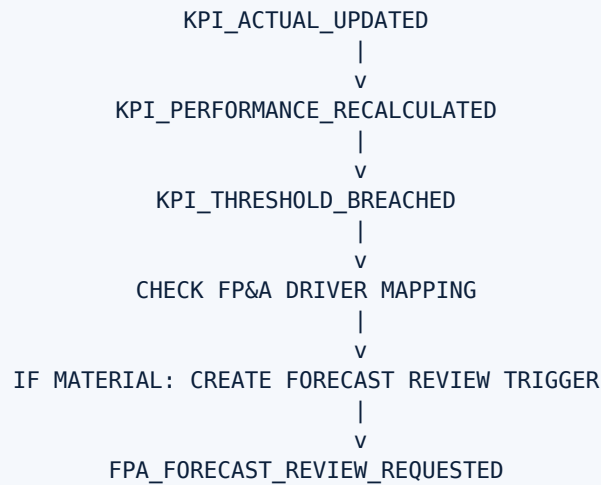
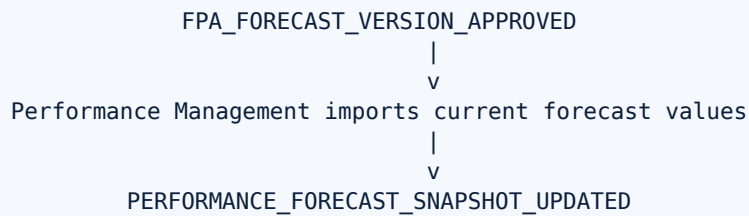
- KPI
- KPI owner
- Performance period
- Target
- Actual
- Achievement
- Status
- Linked FP&A driver
- Current FP&A driver value
- Trigger reason
- Trigger date
- FP&A reviewer
- Review status
- Review decision
- Resulting forecast version

Statuses: OPEN, UNDER_REVIEW, NO_FORECAST_CHANGE, FORECAST_CHANGE_PROPOSED, FORECAST_UPDATED, CLOSED.

23. Integration Event Flow

TARGET SNAPSHOT EVENT



PERFORMANCE DEVIATION EVENT**FORECAST SNAPSHOT EVENT**

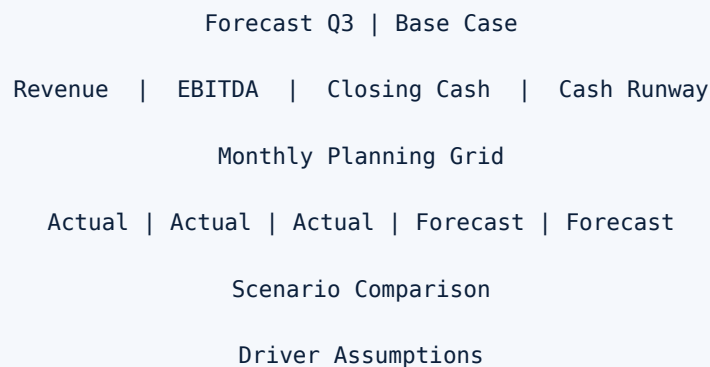
Event consumers must be idempotent.

24. UI Behaviour

The systems should visually complement each other but should not look identical.

FP&A Interface

The FP&A UI should emphasise planning grids, financial tables, scenarios, forecasts, drivers, financial charts, variance analysis and calculation trace.

TYPICAL FP&A SCREEN

Performance Management Interface

The Performance Management UI should emphasise strategy, KPI cards, scorecards, target achievement, accountability, corrective actions, trends and performance status.

TYPICAL PERFORMANCE MANAGEMENT SCREEN

Corporate Scorecard

FINANCIAL	84%
CLIENT	72%
OPERATIONS	91%
PEOPLE	68%

AT RISK KPIs

New Mandates	25%
Pipeline Conversion	60%
Client Retention	94%

CORRECTIVE ACTIONS

5 Overdue | 8 In Progress | 3 Awaiting Review

25. Developer Guardrails

Developers must never:

1. Treat FP&A and Performance Management as the same module.
2. Allow Performance Management to directly alter FP&A calculations.
3. Allow FP&A forecast changes to overwrite original KPI targets.
4. Treat forecasts as performance targets automatically.
5. Store budget, forecast and KPI targets as one interchangeable value.
6. Let KPI underperformance automatically change an FP&A driver.
7. Remove historical targets after a reforecast.
8. Calculate KPI achievement without a defined target basis.
9. Use financial variance commentary as a replacement for corrective actions.
10. Store corrective actions inside FP&A planning cells.
11. Expose individual performance scorecards through FP&A permissions.
12. Automatically approve a reforecast because a KPI is underperforming.
13. Assume every FP&A line item should become a KPI.
14. Assume every KPI should link to an FP&A driver.
15. Delete the relationship between an approved target and its source FP&A version.

26. Final Instruction to Developers

The development team must think of these systems as two parts of one management cycle.

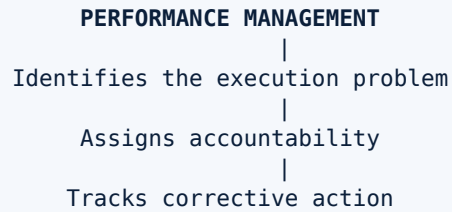
FP&A

Answers: “What is our expected financial future?”

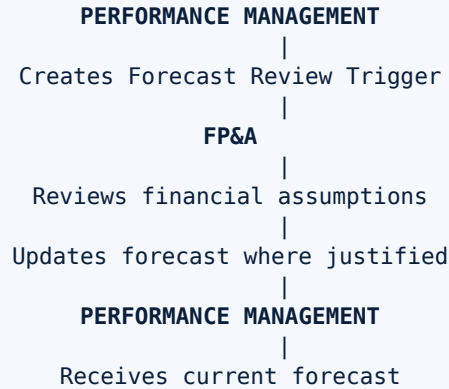
Performance Management

Answers: “Are we executing the strategy required to produce that future?”

When performance is below target:

EXECUTION RESPONSE

Where the problem materially changes the expected future:

FORECAST REVIEW RESPONSE

The original target remains visible. The current forecast remains visible. Actual performance remains visible.

Fundamental Arcus control

The system must always preserve WHAT MANAGEMENT COMMITTED TO ACHIEVE vs WHAT MANAGEMENT CURRENTLY EXPECTS vs WHAT HAS ACTUALLY HAPPENED.

FP&A is the Financial Future Engine.

Performance Management is the Strategy Execution and Accountability Engine.

The two systems complement each other because one calculates the expected financial outcome while the other measures whether the organisation is performing the actions necessary to achieve it.